Solution

Bank reconciliation statement as on 31st December, 2017

Particulars	Amount ₹	Amount ₹
Balance as per bank statement		6,000
Add:		
Cheque deposited but not yet credited	2,000	
Insurance premium on building directly paid by the bank	1,000	3,000
		9,000
Less:		
Cheque issued but not yet presented for payment	3,000	
Interest on debentures directly collected by the bank not entered in cash book	4,000	
Amount wrongly credited by bank	500	7,500
Balance as per cash book		**1,500**

Illustration 7 (When balance as per bank statement is an overdraft)

From the following data, ascertain the cash book balance as on 31st December, 2017.

	Particulars	₹
1)	Overdraft balance as per bank statement	6,500
2)	Cheques deposited into the bank but not yet credited	10,500
3)	Cheques issued, but not yet presented for payment	3,000
4)	Wrong debit by the bank	500
5)	Interest and bank charges debited by bank	180
6)	Insurance premium on goods directly paid by the bank as per standing instructions	100

Solution

Bank reconciliation statement as on 31st December, 2017

Particulars	Amount ₹	Amount ₹
Overdraft balance as per bank statement		6,500
Add: Cheques issued, but not yet presented for payment	3,000	3,000
		9,500
Less: Cheques deposited into the bank but not credited	10,500	
Wrong debit by the bank	500	
Interest and bank charges debited by bank	180	
Insurance premium directly paid by the bank as per standing order	100	11,280
Balance as per cash book*		**–1,780**

* ***Note:*** Since the balance obtained is negative, it is favourable balance.

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